

However, this education was drastically interrupted in 1694, when, on a field adjacent to central London in what is now Bloomsbury, he was unduly successful in a duel. For bringing his opponent down with a sword “to his belly,” he was arrested and clapped into jail on a murder charge. After lengthy proceedings, the matter was resolved by his escape from prison, it is thought with some official connivance. He made his way to the Continent, where for the next several years he evidently made his living as a highly resourceful gambler. His winnings, it is said, were the result of his having worked out the odds in a contemporary version of craps—something that would now have him barred from the tables.

In the Netherlands he also observed the operations of the great and successful Bank of Amsterdam and gave thought to banking and to the idea of a land bank that would take over landed property and issue notes secured by the real estate as loans. Just how the land would be redeemed by noteholders was uncertain. The idea was, however, important for his future career in Paris. There he arrived in 1716 after a brief return to Scotland, where he sought to promote his schemes, only to have them rather decisively and, none can doubt, very wisely rejected.

Paris was more amenable or, more precisely, more unfortunate. It was a propitious moment; Louis XIV had died the year before, leaving two legacies that would prove to be important for Law. One was the Regent for the young Louis XV: Philippe II, Duc d’Orléans, was a man who combined a negligible intellect with deeply committed self-indulgence. The other was a bankrupt treasury and numerous debts deriving from the Sun King’s persistent wars and civil extravagance and the extensive corruption among the tax farmers assigned to the raising of the revenues. To both of these opportunities Law addressed himself.

On May 2, 1716, he was accorded the right to establish a bank, which eventually became the Banque Royale, with a capital of six million livres. Included was authorization to issue notes, which were then used by the bank to pay current government expenses and to take over past government debts. The notes, in principle exchangeable into hard coin if one wished, were well received. Some being well received, more were issued.

What was needed, obviously, was a source of earnings in hard cash that would bring in revenues to support the note issue. This was provided in theory by the organization of the Mississippi Company (the *Compagnie d’Occident*)—later, with larger trading privileges, the Company of the